MARKING SCHEME

6.3 DETERMINATION OF MARKET PRICE

1995/CE/II/08 A	1994/CE/II/07 B	1996/CE/II/04 D	1991/CE/II/12 C	2007/CE/II/04 C (79%)
2001/CE/II/04 D	1994/CE/II/58 A	1996/CE/II/56 A	1993/CE/II/26 B	2008/CE/II/05 A (56%)
2013/DSE/I/10 D (60%)	1996/CE/II/06 B	1998/CE/II/09 B	1994/CE/II/06 C	2009/CE/II/07 A (83%)
1992/CE/II/21 C	2002/CE/II/07 D (82%)	2000/CE/II/12 D	1995/CE/II/13 A	2010/CE/II/08 D (78%)
1999/CE/II/05 C	2003/CE/II/08 C (58%)	2001/CE/II/03 C	1996/CE/II/05 A	2012/DSE/I/13 D (78%)
2000/CE/II/09 C	2004/CE/II/05 D (60%)	2001/CE/II/05 A	1997/CE/II/05 B	2012/DSE/I/15 B (80%)
2009/CE/II/05 B (47%)	2005/CE/II/04 D (89%)	2003/CE/II/14 C (43%)	1998/CE/II/08 C	2013/DSE/I/11 B (87%)
2014/DSE/I/12 A (53%)	2006/CE/II/07 B (45%)	2004/CE/II/06 D (31%)	1998/CE/II/10 D	2014/DSE/I/14 C (84%)
2016/DSE/I/14 A (55%)	2007/CE/II/10 B (54%)	2006/CE/II/06 C (55%)	1999/CE/II/12 C	2016/DSE/I/16 B (71%)
2016/DSE/I/17 A (67%)	2008/CE/II/04 D (63%)	2006/CE/II/08 C (65%)	2000/CE/II/07 B	2018/DSE/I/16 A (82%)
2018/DSE/I/13 C (74%)	2010/CE/II/06 B (78%)	2007/CE/II/05 D (59%)	2001/CE/II/10 C	1992/CE/II/23 A
1990/CE/II/17 D	2015/DSE/I/15 A (58%)	2009/CE/II/06 D (60%)	2002/CE/II/09 C (72%)	1997/CE/II/06 A
1991/CE/II/24 A	2016/DSE/I/13 D (64%)	2013/DSE/I/12 A (25%)	2002/CE/II/50 D (51%)	2005/CE/II/06 B (77%)
1992/CE/II/22 A	2017/DSE/I/14 C (59%)	2015/DSE/I/14 A (69%)	2004/CE/II/07 C (79%)	2005/CE/II/07 D (70%)
1992/CE/II/42 B	1990/CE/II/17 D	2017/DSE/I/17 D (62%)	2005/CE/II/05 C (84%)	2018/DSE/I/15 B (47%)
1993/CE/II/18 A	1993/CE/II/57 B	2018/DSE/I/20 D (82%)	2006/CE/II/05 A (61%)	2019/DSE/I/13 B
2019/DSE/I/17 B	2020/DSE/I/14 A	2021/DSE/I/13 D	2021/DSE/I/14 B	2022/DSE/I/13 B
2022DSE/I/14 C	2022/DSE/I/17 B	2023/DSE/I/12 B	2023/DSE/I/19 D	2025/DSE/I/13 A
2025/DSE/I/14 D	2025/DSE/I/16 C	2025/DSE/I/38 D		

Note: Figures in brackets indicate the percentages of candidates choosing the correct answer

1991/CE/I/2(b)(i)

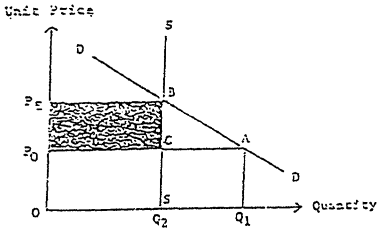
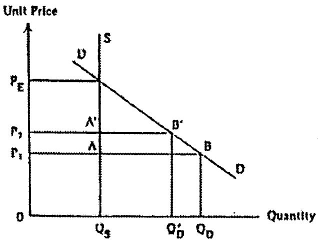


Diagram:
- P_0 ↑ to P_E (equilibrium price) (1)
- Q_1 ↓ to Q_2 (1)
- shaded area = additional revenue (1)

(i) According to the law of demand, (1)
the quantity demanded decrease . (1)

(ii) The total revenue increase (from area $0Q_2CP_0$ to area $0Q_2BPE$) because the fee is raised while the quantity remains unchanged. (3)

1993/CE/I/3(c)



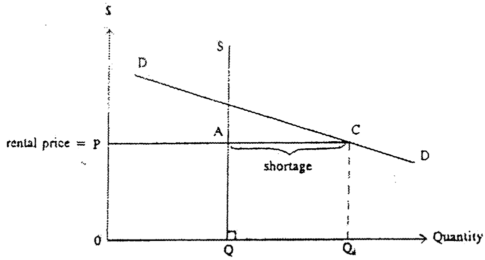
P_E : equilibrium price
P_1 : original price
P_2 : new price

Correct graph:
- Vertical supply curve (1)
- AB = excess demand at P_1 (1)
- A'B'=excess demand at P_2 (1)

Correct verbal explanation:
The supply of MTR service is perfectly inelastic (at maximum capacity). (1)
The initial fare (P_1) is set below the equilibrium level, so there is an excess demand. (2)
The higher fare (P_2) is still below the equilibrium level, but the excess demand will become smaller. (2)

1995/CE/I/9(a)

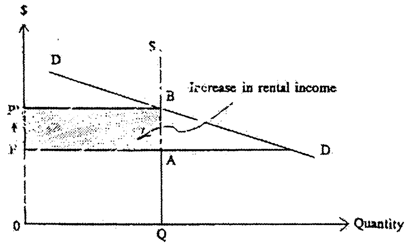
(i)



Candidates should indicate on the graph:

- a vertical supply curve (1)
- the rental price P was below the equilibrium price / shortage of AC (1)

(ii)



Candidates should indicate on the graph:

Correct indication of the rental income increase on the graph (i.e. area ABP'P). (2)

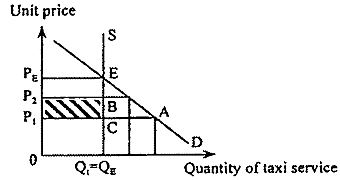
Verbal elaboration:

The price increases to the equilibrium price. (1)

There is no change in the quantity transacted. (1)

The rental income increases. (1)

1999/CE/I/11(a)



Graph showing:
- $P_1 < P_E$ (1)
- $P_1 < P_2 < P_E$ (1)
- no change in Q_t (1)
- total revenue increases from $P_1 \times Q_t$ to $P_2 \times Q_t$ / additional revenue is P_1P_2BC (1)

Verbal explanation:
At P_1, there is an excess demand for taxi service. (1)
After a rise in taxi fares from P_1 to P_2 (still below equilibrium price), there is still an excess demand. (1)
The quantity transacted remains unchanged. (1)
The total revenue increases from $P_1 \times Q_t$ to $P_2 \times Q_t$. (1)

1990/CE/I/4(b)

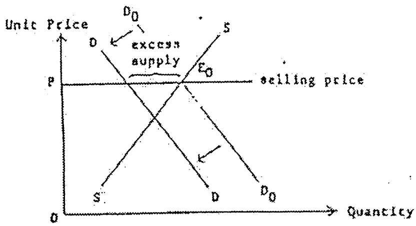
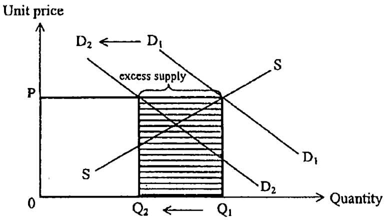


Diagram:
- demand curve shifts to the left (1)
- P unchanged (1)
- excess supply (1)

Elaboration:
The demand decreases (because of the fall in desire for consumption). (1)
There will be an excess supply at the original selling price P. (2)

2004/CE/I/10(a)



Indicate in the diagram:

- demand curve shifted to the left (1)
- P remained constant (1)
- Q decreased from Q_1 to Q_2 (1)
- excess supply (1)
- TR (= P x Q) decreased from PQ_1 to PQ_2 / loss in revenue (1)

[Remark: The above analysis starts from an equilibrium position. One can also start from a situation with excess supply or excess demand where similar analysis still applies.]

Verbal explanation:

(Due to the outbreak of SARS,) there is a decrease in demand for airlines services. (1)
The quantity transacted decreased at the constant price. (1)
Therefore, total revenue decreased. (1)

1990/CE/I/5(c)(ii)

(I) The demand would probably increase, because
the quality of living in Kowloon City will be improved (nuisances disturbances and danger caused by the old airport do not exist). (3)

OR

The demand would probably decrease, because
new airport spreads the population to Lantau and Western part of Kowloon and the N.T., the convenience of Kowloon City decreases. (3)

(II) The supply would probably increase, because
removal of height limit / reconstruction of buildings / increase in supply of land released from the old airport (3)

1991/CE/I/4(c)

(i)

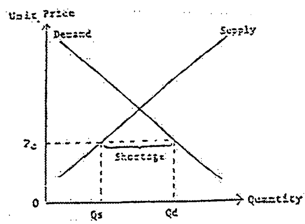


Diagram:

- P (lower than equilibrium) (1)
- shortage (1)

A shortage or excess demand arises when the price is below the equilibrium level. (1)
At such a price, the quantity demanded is larger than the quantity supplied and the difference between Qd and Qs, i.e., Qd – Qs, is a shortage. (2)

(ii) (I)

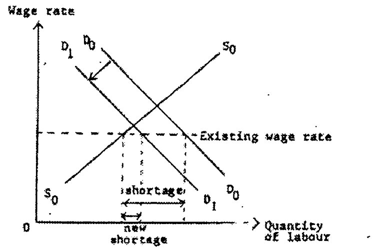


Diagram:
- demand curve shifts to the left (1)
- P unchanged (1)
- smaller shortage (1)

The (derived) demand for labour will fall if there is a recession. (1)
The excess demand will become smaller. (1)

(II)

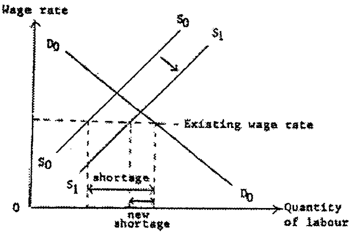


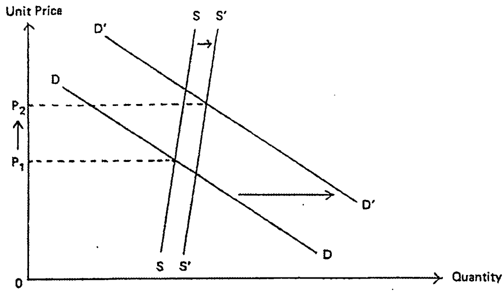
Diagram:
- supply curve shifts to the right (1)
- P unchanged (1)
- smaller shortage (1)

The supply of labour will increase if foreign workers are imported. (1)
The excess demand will become smaller. (1)

1992/CE/I/4(d)
(i) The demand increases, because (1)
(Construction of the new airport will bring forth the following:)
more business and investment in Tsuen Wan ⇒ demand for shopping centres ↑
OR
more confidence in the future of Hong Kong ⇒ people expect the value of these properties ↑ (2)

The supply increase, because (1)
more and more factories there will be redeveloped into hotels and shopping centers (2)

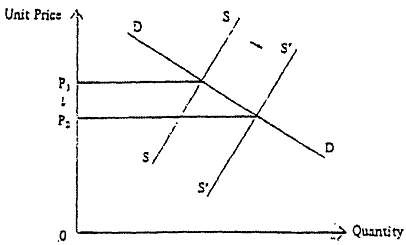
(ii)



Indicate in the diagram:
- supply curve shifts to the right (1)
- demand curve shifts to the right (1)
- larger shift of the demand curve and a rise in price (2)

Verbal elaboration:
The increase in demand is larger than the increase in supply. (2)

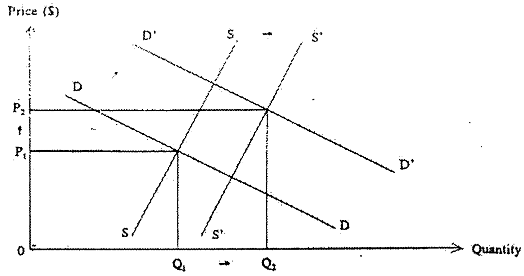
1993/CE/I/4(b)(ii)



Indicate in the diagram:
- supply curve shifts to the right (1)
- P ↓ (1)

Verbal elaboration:
As the supply of TV sets in China increases (because of the smuggling), (1)
the price will decrease. (1)

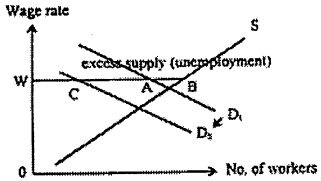
1995/CE/I/11(a)



Candidates should show on the graph:
- demand curve shifts to the right (1)
- supply curve shifts to the right (1)
- a greater shift of the demand curve (1)

Verbal elaboration:
The demand increases (because of easy traffic). (1)
The supply increases (because more land is available). (1)
The increase in demand is larger than the increase in supply. (2)

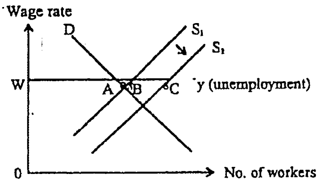
1996/CE/I/12(a)
(i)



Indicate in the diagram:
- at W (higher than equilibrium), excess supply = AB (1)
- demand curve shifts to the left (1)
- new excess supply = BC (1)

Elaboration:
The (derived) demand for manufacturing workers decreases. (1)
At the going wage rate, there will be a greater excess supply. (1)

(ii)

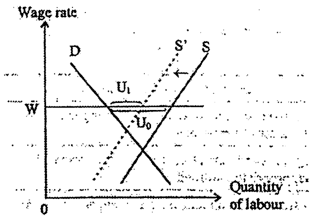


Indicate in the diagram:
- at W (higher than equilibrium), excess supply = AB (1)
- demand curve shifts to the left (1)
- new excess supply = AC (1)

Elaboration:
The supply of manufacturing workers increases. (1)
At the going wage rate, there will be a greater excess supply. (1)

1997/CE/I/2
Initial unemployment problem exists when the wage rate is higher than the equilibrium wage rate. (1)

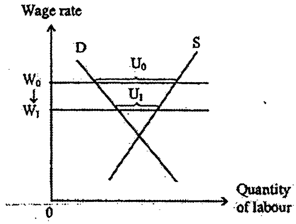
Answer 1



Indicate in the diagram:
- wage rate W > equilibrium wage rate (1)
- supply curve shifts to the left (1)
- unemployment drops from U_0 to U_1 (1)

Elaboration:
If some workers have to leave the industry and find jobs in other industries, (1)
the supply of labour will decrease (, and reduce unemployment). (1)

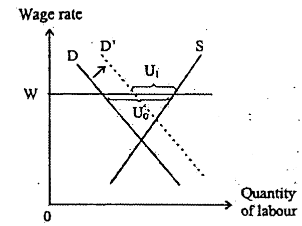
Answer 2



Indicate in the diagram:
- wage rate W_0 > equilibrium wage rate (1)
- W_0 falls to W_1 (1)
- unemployment drops from U_0 to U_1 (1)

Elaboration:
Workers of the industry have to accept lower wage rates. (1)
The excess supply of labour (i.e. quantity supplied in excess of quantity demanded) will fall. (1)

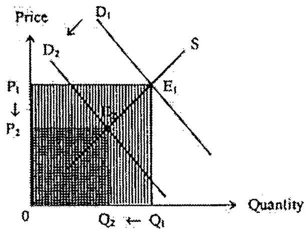
Answer 3



Indicate in the diagram:
- wage rate W > equilibrium wage rate (1)
- demand curve shifts to the right (1)
- unemployment drops from U_0 to U_1 (1)

Elaboration:
If there is more business, or labour productivity of the industry increases, (1)
the derived demand for labour will increase (, and reduce unemployment). (1)

1997/CE/I/9(b)

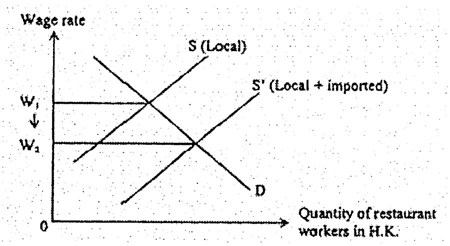


Candidates should show on the graph:
- demand curve shifts to the left (1)
- P ↓ & Q ↓ (1)
- loss in total revenue = area $E_1Q_1Q_2E_2P_2P_1$ (1)

Verbal explanation:
The demand for minibus service will decrease, because (1)
- the new railway service is a substitute of minibus service. (1)

Total revenue will decrease (from P_1Q_1 to P_2Q_2). (1)

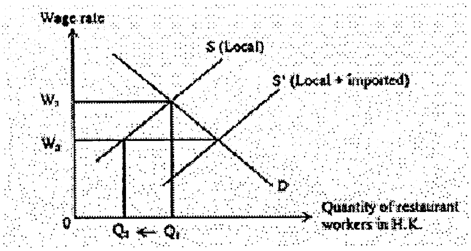
1998/CE/I/9(c)
(i)



Candidates should show on the graph:
- supply curve shifts to the right (1)
- W ↓ (1)

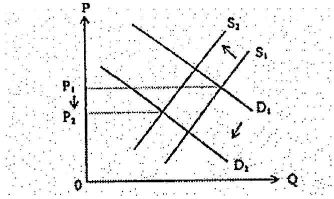
Verbal explanation:
There is an increase in the supply of restaurant workers. (1)
The equilibrium wage rate will fall. (1)

(ii)



Verbal explanation:
Q_1 is the original employment level of local restaurant workers. (1)
Q_2 is the new employment level of local restaurant workers. (1)
The employment level decreases. (or diagram showing $Q_1 \Rightarrow Q_2$) (1)

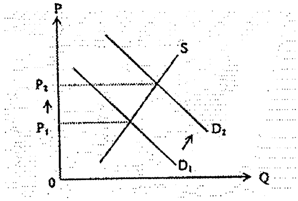
1998/CE/I/10(b)
(i)



Candidates should show on the graph:
- demand curve shifts to the left (1)
- supply curve shifts to the left (1)

Verbal explanation:
The demand for illegal computer software decreases. (1)
The supply decreases. (1)
The market price is uncertain, (1)
depending on the extent of decrease in both demand and supply. (1)

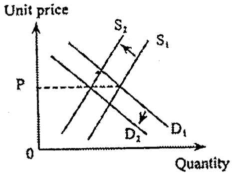
(ii)



Candidates should show on the graph:
- demand curve shifts to the right (1)
- P ↑ (1)

Verbal explanation:
The demand for legal computer software increases (because it is a substitute of illegal software). (1)
As a result, the market price increases. (1)

1999/CE/I/2

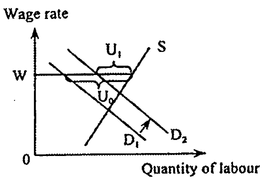


Graph showing:
- demand curve shifts to the left (1)
- supply curve shifts to the left (1)
- P (determined by D_2 and S_2) remains unchanged (1)

Verbal explanation:
There is a fall in demand (because people were afraid of eating poisonous seafood). (1)
There is also a fall in supply (because the import volume of seafood decreased). (1)
As the fall in demand was equal to the fall in supply, the price remained the same. (1)

1999/CE/I/10(a)
(i) Firms' profits after tax will rise, (1)
leading to a higher incentive to invest (or an increase in investment). (1)
The (derived) demand for labour is likely to increase. (1)

(ii)

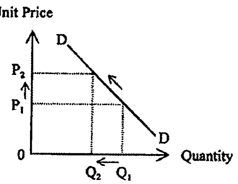


Graph showing:
- demand curve shifts to the right (1)
- a fixed wage rate (1)
- a larger excess supply (from U_0 to U_1) (1)

Verbal explanation:
Unemployment exists when the fixed wage rate is higher than the equilibrium wage rate. (1)
As the derived demand for labour increases, (1)
(given the unchanged wage rate,) excess supply or unemployment decreases. (1)

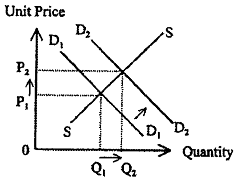
2000/CE/I/2

David refers to the law of demand / a movement along a downward sloping demand curve. (1)



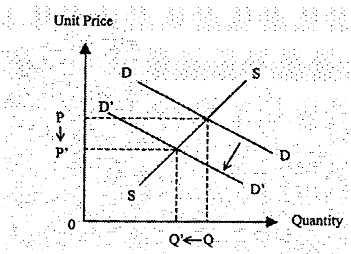
Indicate in the graph:
- a downward sloping demand curve (1)
- a rise in price and a corresponding decrease in the quantity demanded (1)

Amy refers to (a change in the equilibrium position due to) an increase in demand / a shift of the demand curve. (1)



Indicate in the graph:
- rightward shift of demand curve (1)
- an increase in equilibrium price (1)
- an increase in equilibrium quantity (1)

2000/CE/I/9(b)(i)

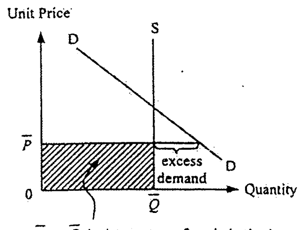


Indicate in the graph:
- demand curve shifts to the left (1)
- PQ ↓ to P'Q' (1)

Verbal explanation:

The demand for legal petroleum decreases, because (1)
a substitute is available. (1)
Both the price and the quantity transacted will fall. (1)
The total revenue will decrease. (1)

2001/CE/I/10(c)(i)



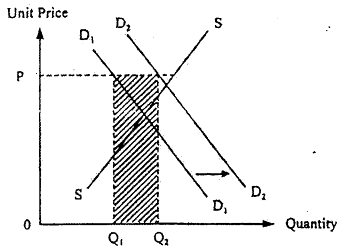
Indicate in the graph:

- a vertical supply curve (1)
- the price is set below the equilibrium price (1)
- excess demand (1)
- amount of capital raised (2)

Verbal explanation:

The selling price is fixed at a level below the equilibrium price, at which (1)
the quantity demanded is larger than the quantity supplied / there is an excess demand. (1)

2001/CE/I/11(d)



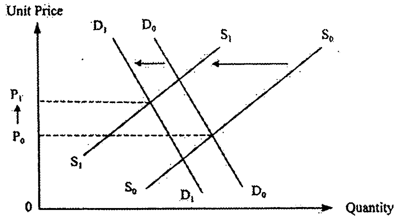
Indicate in the graph:

- fixed price P is set above the equilibrium price (1)
- demand curve shifts to the right (1)
- Shaded area = increase in sales revenue (1)

Verbal explanation:

The demand for private housing will increase, because (1)
public housing is a substitute. (1)
(Given constant P,) the quantity transacted will increase, and the total revenue will increase. (2)

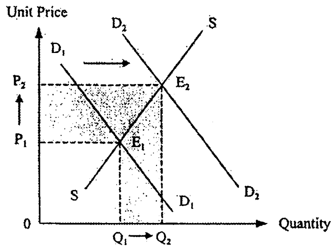
2002/CE/I/2



Indicate in the graph:
- supply curve shifts to the left (1)
- demand curve shifts to the left (1)
- correct indication of the increase in equilibrium price with the leftward shift of the supply curve > the leftward shift of the demand curve (1)

Verbal explanation:
There is a decrease in the supply of gasoline (because gasoline is an oil product). (1)
There is a decrease in the demand for gasoline, because (1)
gasoline and automobiles are complementary goods. (1)
The change in supply is greater than the change in demand. (1)

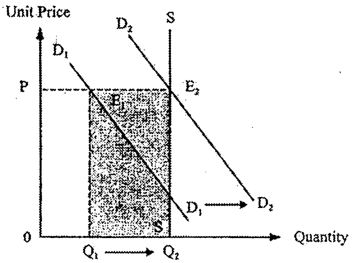
2002/CE/I/10(b)



Indicate in the graph:
- demand curve shifts to the right (1)
- price ↑ and quantity transacted ↑ (1)
- change in total expenditure = $P_2Q_2 - P_1Q_1$ (1)

Verbal explanation:
The demand increases (because the cost of borrowing is lowered). (1)
Both the price and the quantity transacted increase. (1)
Total expenditure increases. (1)

2002/CE/I/11(b)



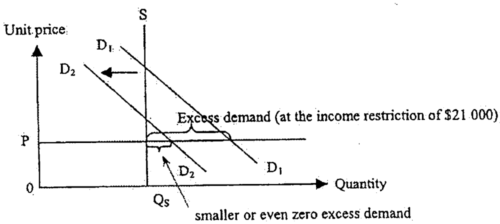
Indicate in the graph:

- tuition fee level P > equilibrium price (1)
- rightward shift of the demand curve (1)
- D_1 shifts to D_2 or the right of D_2 (1)
- increase in total revenue = area $E_1E_2Q_2Q_1$ (1)

Verbal explanation:

The demand increases (because more students are attracted by the advertisement). (1)
The quantity transacted increases. (1)
The excess supply decreases from Q_1Q_2 to zero (i.e. disappeared). (1)

2003/CE/I/1



(a) Indicate in the diagram:

- a constant price (P) below the equilibrium price (1)
- excess demand at the income restriction of $21 000 (demand is D_1) (1)

Verbal explanation:

The fixed price is below the equilibrium price. (1)
There is an excess demand at the beginning. (1)

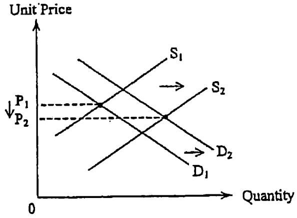
(b) Indicate in the diagram:

- demand curve shifts to the left (1)
- resulting in a smaller excess demand or even no more excess demand (1)

Verbal explanation:

The demand falls due to further income restriction. (1)
(The excess demand will be smaller or even eliminated). (1)

2003/CE/I/10(b)

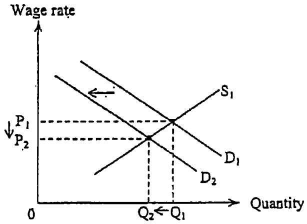


(i) The supply increases, because (1)
the cost of production (i.e. input price) decreases. (1)
The demand increases, because (1)
there is a larger number of buyers (1)

(ii) Indicate in the diagram:
- supply curve shifts to the right (1)
- demand curve shifts to the right (1)
- larger shift of the supply curve and a fall in price (1)

Verbal elaboration:
The increase in supply is larger than the increase in demand. (1)

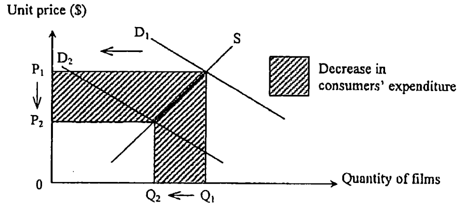
2003/CE/I/11(d)



Indicate in the diagram:
- demand curve shifts to the left (1)
- P ↓ (1)
- Q ↓ (1)

Verbal elaboration:
The (derived) demand for labour decreases. (1)
The wage rate decreases, and (1)
employment decreases (1)

2004/CE/I/3



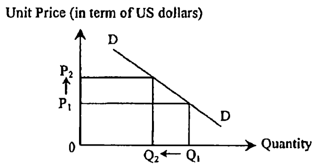
Indicate in the diagram:
- D_1 shifts to D_2 (1)
- P↓ & Q↓ (1)
- Total expenditure ↓ (1)

Verbal elaboration:
The demand for films decreases, because (1)

traditional cameras and films are complements.
OR
The demand for traditional cameras decreases, because
digital cameras are substitutes of traditional cameras. (1)

Consumers' total expenditure on films decreases (1)

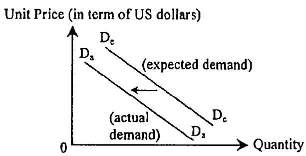
2005/CE/I/1
(i)



Indicate on the diagram:
- P↑ (1)
- Q↓ (1)

Verbal elaboration:
[A rise in exchange rate of the euro dollar would lead to a rise in price (in terms of US dollars) of the tourism service,]
the quantity demanded of the tourism service would decrease. (1)

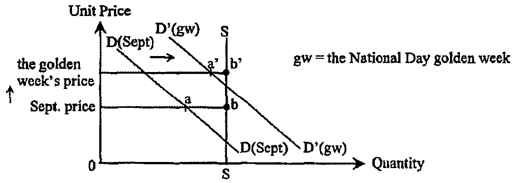
(ii)



Indicate on the diagram:
- leftward shift of the demand curve (1)

Verbal elaboration:
[If tourists were afraid that they might be attacked by the terrorists,]
their demand for the tourism service would decrease. (1)

2006/CE/I/9(a)



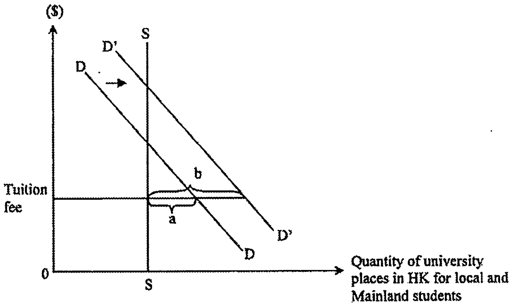
(i) Diagram:
- Sept. price > equilibrium price (1)
- ab = excess supply in Sept. (1)

Verbal Elaboration :
- initial excess supply in Sept. (1)

(ii) Diagram:
- demand curve shifts to the right to position D'D' in the golden week. (1)
- price raised to a new level (there is an excess supply at the new price) (1)
- excess supply in the golden week = a'b' (1)
- a'b' < ab (1)

Verbal Elaboration:
There is an increase in demand (because of the increasing number of tourists). (1)
The excess supply becomes smaller in the golden week. (1)

2007/CE/I/8

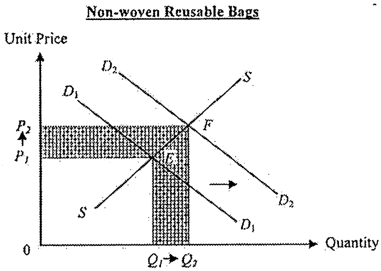


Indicate in the diagram:
- tuition fee is below the equilibrium price (1)
- a is the original excess demand (1)
- rightward shift of the demand curve (1)
- b is the new excess demand (1)

Verbal elaboration:
There is an increase in demand (because of the increasing number of mainland students). (1)
The tuition fee is below the equilibrium level / remains unchanged. (1)
(resulting in a larger excess demand.)

2008/CE/I/1
- number of substitutes: more substitutes are available
- price of substitutes: a fall in the price of substitutes
- income of consumers: an increase in income and rice is an inferior good
- taste of consumers: a change in taste against eating rice (2@, max: 4)
[Mark the **FIRST TWO** points only.]

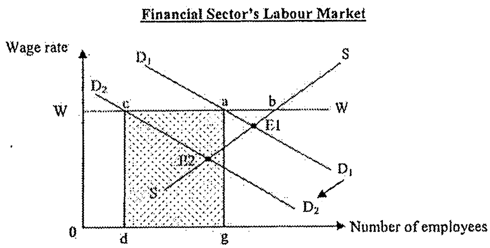
2010/CE/I/1



Indicate in the diagram:
- demand curve shifts to the right (1)
- area $0P_2FQ_2$ > area $0P_1EQ_1$ (1)

Verbal elaboration:
The demand for non-woven reusable bags increases, because (1)
they are substitutes of plastic shopping bags. (1)
Therefore, the total revenue increases. (1)

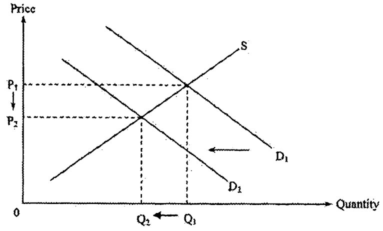
2010/CE/I/11(a)



Indicate in the diagram:
- wage rate W above the initial equilibrium wage rate at E_1 (1)
- initial excess supply ab (1)
- D_1 shifts to D_2 (1)
- cb = the new excess supply (1)
- area cdga = total wage loss (1)

Verbal elaboration:
Initially, the wage rate is higher than the initial equilibrium wage rate. (1)
There is an excess supply of labour / the quantity supplied is greater than the quantity demanded (by ab). (1)
The demand for labour falls. (1)
The new excess supply is cb (which is larger than the initial excess supply ab). (1)

2012/DSE/II/12(c)
(i)



Indicate in the diagram :
- D shifts to the left (1)
- P ↓ (1)

Verbal Elaboration :
It would result in a drop in demand for private housing, because (1)
public housing (living units under HOS) and private housing are substitutes. (1)
The price of private housing drops. (1)

(ii) A rise in the mortgage interest rate could cool down the property market, because (1)
some people fail (or are unwilling) to borrow at a higher interest rate. (1)
Therefore, the demand for private housing drops. (1)

2015/DSE/II/4(b)
The supply of large flats would drop, because (1)
small flats and large flats are in competitive supply. (1)

2018/DSE/II/13(c)
Nursing, because (1)
the demand for medical service would rise as a result of the aging population, and (1)
the demand for nurse is the derived demand for medical service. (1)
The expected future income of a nurse should thus be higher (than that of someone working in primary education). (1)

DSE/2022/II/10e

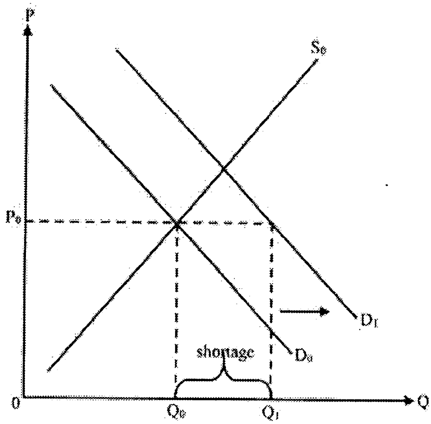
(e) Verbal elaboration:

Demand for thecoursesincreases.Ifthe price does not adjust fast enough in response to the change in demand,then it would fall short of the equilibrium price and thus result in excess demand or shortage/queues. (3)

Illustrate in the diagram:

— rightward shift in the demand curve (1)

— correct position ofshortage (1)



2023/DSE/II/11(a)

(a) Verbal elaboration:

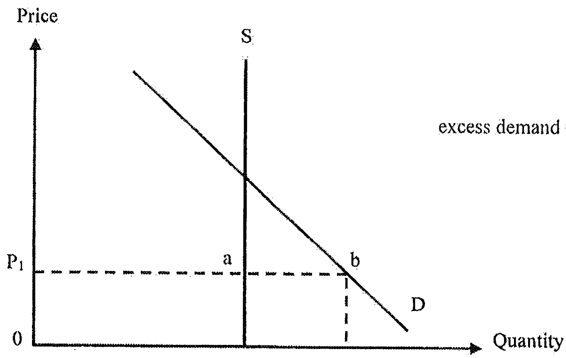
– As the concert ticket price is set below the equilibrium price, there is an excess demand for concert tickets. (2)

Indicate in the diagram:

– price below equilibrium price (1)

– excess demand (ab) (1)

Figure 5



excess demand = ab

2024/DSE/II/13(d)

(d) Marks for effective communication (EC: max 2 marks)

Marks	Performance
2	● *Support arguments with the source/data and appropriate economic theories.* ● *Present relevant material.* ● *Present well-organised and coherent answers without repetition of ideas.* ● *Use language that expresses ideas clearly and fluently with appropriate use of words/terms/symbols.*
1	● *Present arguments with some support of the source/data and economic theories.* ● *Present some irrelevant material.* ● *Present answers in a less organised way with some repetition.* ● *Use language that conveys a clear message with some inappropriate use of words/terms/symbols.*
0	● *Present arguments with no support of the source/data and economic theories.* ● *Present material unrelated to the gist of the question.* ● *Present inconsistent arguments.* ● *Express limited ideas with inappropriate use of words/terms/symbols.*

The maximum mark for content is 12 marks.